Supreme Court, U.S.
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No. _____

In the

Supreme Court of the United States

October Term, 1998

IRENE L. WRIGHT, on behalf of herself
and all others similarly situated,

Petitioner,

-v-

ERNST & YOUNG LLP,

Respondent.

On Petition for Writ of Certiorari to the United States Court of Appeals for the Second Circuit

PETITION FOR A WRIT OF CERTIORARI

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QUESTION PRESENTED FOR REVIEW

Can a secondary actor not identified in a public statement incur primary liability under Section 10(b) of the Securities Exchange Act of 1934 where he communicates false information to an issuer knowing that the issuer will publish that information?

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CITATIONS OF OPINIONS AND ORDERS

The opinion of the United States Court of Appeals for the Second Circuit in the matter of Irene L. Wright, on behalf of herself and all others similarly situated, Plaintiff-Appellant v. Ernst & Young LLP, a New York corporation, Defendant-Appellee, 152 F.3d 169 (2d Cir. 1998), is set forth at Appendix, p. 1a.

The Order of the United States District Court for the Southern District of New York dismissing the complaint is set forth at Appendix, p. 20a.

BASIS FOR JURISDICTION IN THIS COURT

The Judgment of the United States Court of Appeals for the Second Circuit was entered on August 6, 1998.

There has been no order requesting rehearing or granting an extension of time to file the petition for a writ of certiorari.

This Court has jurisdiction to review the judgment in question on a writ of certiorari pursuant to 28 U.S.C. § 1254.

STATUTE IN QUESTION

The federal statute involved is 15 U.S.C. § 78(j), commonly referred to as section 10(b) of the Securities Exchange Act of 1934, which is set out verbatim at Appendix, p. 27a.

STATEMENT OF THE CASE

This action (the "Action") was brought as a class action to remedy alleged violations by defendant Ernst & Young LLP ("E&Y") of Section 10(b) of the Securities Exchange Act of 1934 (the "Exchange Act"), on behalf of purchasers of BT Office Products International Inc. ("BT" or the "Company") common stock between January 30, 1996 (the date BT published its 1995 full year and fourth quarter financial results based on defendant E&Y's representations to BT's management as to their accuracy), through March 28, 1996 (when BT revealed that the previously announced 1995, as well as 1994, financial results were materially misstated), inclusive (the "Class Period"), who were damaged thereby (the "Class").

Plaintiff claims that defendant E&Y, the Company's outside auditor, violated the Exchange Act by affirmatively telling the Company that its financial results for its fiscal year ended December 31, 1995, were sufficiently accurate for dissemination to the investing public. Plaintiff further alleges that E&Y assured BT that it could publicly disseminate the subject financial results in a press release despite E&Y's knowledge of myriad and substantial violations of Generally Accepted Auditing Standards ("GAAS") and despite learning in January 1996 that the Company had an unexplained $3,900,000 under-accrual in accounts payable at 1995 year-end.

The parties all agree that BT's 1995 financial results published on January 30, 1996, as well as the Company's 1994 financial statements, were false. At issue in this case was whether defendant E&Y, which was directly or indirectly

responsible for the publication of those false financial results, is liable under Section 10(b).

On September 10, 1997, without entertaining oral argument, United States District Court Judge for the Southern District of New York Shira A. Scheindlin issued her opinion and order dismissing the case, holding that defendant E&Y's oral assurances to BT that the 1995 figures were accurate and that its just-completed field work complied with GAAS did not constitute an actionable misstatement.

The United States Court of Appeals for the Second Circuit affirmed the District Court on August 6, 1998. The Second Circuit held that E&Y could not be liable for misstatements contained in the press release published by BT because E&Y was not identified in that press release as having made any statement and, therefore, the market did not rely on the conduct of E&Y.

The bases for federal jurisdiction in the District Court for the Southern District of New York, the federal court of first instance, were 15 U.S.C. § 78aa and 28 U.S.C. § 1331.

ARGUMENT IN SUPPORT OF PETITION

Since this Court's decision in *Central Bank of Denver v. First Interstate Bank of Denver*, 511 U.S. 164 (1994), holding that no claim existed for aiding and abetting under Section 10(b) of the Exchange Act, federal district and circuit courts have struggled to determine the boundaries of primary liability under the Exchange Act for parties other than the

actual speaker. *Central Bank* simply states that the Exchange Act "prohibits only the making of a material misstatement (or omission) or the commission of a manipulative act." *Central Bank*, 511 U.S. at 177. Seizing on this language, some courts have read the *Central Bank* decision to mean that there can be no liability if a defendant does not actually make the public statement. Other courts have interpreted the decision less restrictively to mean that a defendant must, in some way, be responsible for a misstatement.

Further complicating matters, at least two Circuit Courts of Appeal have offered differing views about what it means to "make" a public statement. In *Anixter v. Home-Stake Prod. Co.*, 77 F.3d 1215 (10th Cir. 1996), the Tenth Circuit held that a statement uttered *indirectly* to the public may give rise to liability under Section 10(b), but the Second Circuit in this Action has now held to the contrary -- that a misstatement could only serve as the basis for liability if *publicly attributed* to the alleged wrongdoer, thereby seeming to contradict the holding of *Anixter*. The Second Circuit held that: "a secondary actor cannot incur primary liability under the Act for a statement not attributed to that actor at the time of its dissemination." *Wright* at Appendix, p. 12a. The Second Circuit explained that to hold otherwise would effectively eviscerate the requirement of reliance as an element of a claim under Section 10(b) of the Exchange Act.[1]

---

[1] In fact, plaintiff here alleged implicit reliance on E&Y because the market knew that a public company such as BT would not publish its year-end results until the accountants had completed their field work and authorized the publication of these results. The market further knew that BT's accountants were E&Y because they were the auditors on BT's initial public offering in July 1995 and there had been no announcement of any change in auditors. Thus, E&Y, although not specifically identified as such here, was clearly the known indirect speaker.

However, as discussed in detail below, the Third Circuit, in a remarkably similar case involving attorneys' liability under the Exchange Act, recently held that direct attribution is unnecessary to plead reliance in a 10b-5 case, thus supporting the *Anixter* formulation. *See Klein v. Boyd* [Current Transfer Binder] Fed. Sec. L. Rep. (CCH) ¶ 90, 136 (3d Cir. Feb. 12, 1998). That decision has been vacated by the full panel and is currently under *en banc* review with rehearing scheduled for November 23, 1998. *Klein v. Boyd*, [Current Transfer Binder] Fed. Sec. L. Rep. (CCH) ¶ 90, 165 (3d Cir. Mar. 9, 1998).

The Third Circuit explained that its holding was in no way inconsistent with *Central Bank* or *Anixter* because it agreed that a defendant must make a statement for Section 10(b) liability to attach. *Klein*, (CCH) ¶ 90,136 at 90,325. Simply, the Third Circuit found, contrary to the Second Circuit's ruling in *Wright*, that a secondary actor's involvement in creating a false statement may be "so significant that the secondary actor can fairly be said to have made the statement," albeit indirectly. *Id.* at 90,326 n.7.

Thus, review should be granted here to resolve the confusion and inconsistent rulings amongst the Circuits interpreting this Court's decision in *Central Bank* as to the extent a secondary actor may be liable for making or participating in the making of false statements when the secondary actor is not specifically identified in the misstatement.

Can a secondary actor not identified in a public statement incur primary liability under Section 10(b) of the Exchange Act where he communicates false information to an issuer knowing that the issuer will publish that information?

In *Central Bank*, this Court enunciated the narrow rule "that a private plaintiff may not maintain an aiding and abetting suit under § 10(b)." 511 U.S. at 191. The Court expressly noted, however, that its ruling did not insulate accountants, such as defendant E&Y here, from liability under Section 10(b), stating:

> The absence of § 10(b) aiding and abetting liability does not mean that secondary actors in the securities markets are always free from liability under the securities Acts. Any person or entity, including a lawyer, *accountant*, or bank, who employs a manipulative device or makes a material misstatement (or omission) on which a purchaser or seller of securities relies may be liable as a primary violator under 10b-5, assuming *all* of the requirements for primary liability under Rule 10b-5 are met.

Id. (first emphasis added). Determining what actions support primary liability for secondary actors has thus been left to *Central Bank*'s progeny. District courts interpreting *Central Bank* have generally followed one of two approaches in analyzing potential claims. Several courts have adopted a bright line test that a person must actually make the allegedly false or misleading statement for primary liability to attach under Section 10(b). *See, e.g., In re JWP Inc. Securities Litigation*, 928 F. Supp. 1239, 1256 (S.D.N.Y. 1996); *In re Kendall Square Research Corp. Securities Litigation*, 868 F. Supp. 26, 28 (D. Mass. 1994); *O'Neil v. Appel*, 897 F. Supp. 995, 999 (W. D. Mich. 1995); *Vosgerichian v. Commodore International*, 862 F. Supp. 1371, 1378 (E.D. Pa. 1994).

Other courts have adopted the view that a person who lends substantial assistance to the preparation of a false statement of another may also be held primarily liable. *See, e.g., Phillips v. Kidder, Peabody & Co.*, 933 F. Supp. 303, 316 (S.D.N.Y. 1996); *Cashman v. Coopers & Lybrand*, 877 F. Supp. 425, 432-34 (N.D. Ill. 1995); *Adam v. Silicon Valley Bancshares*, 884 F. Supp. 1398, 1401 (N.D. Cal. 1995); *Whirlpool Financial Corp. v. GN Holdings, Inc.*, 873 F. Supp. 111, 119 (N.D. Ill. 1995); *In re ZZZZ Best Securities Litigation*, 864 F. Supp. 960, 972 (C.D. Cal. 1994).

More recently, the Second, Ninth, and Tenth Circuit Courts of Appeal have provided their interpretations of *Central Bank* resulting in three different standards. In *Anixter*, the Tenth Circuit held that "[t]here is no requirement that the alleged violator directly communicate misrepresentations to plaintiffs for primary liability to attach." 77 F.3d at 1226 (citing *SEC v. Holschuh*, 694 F.2d 130, 142 (7th Cir. 1982) ("[A]ctual or first-hand contact with offerees or buyers [is not] a condition precedent to primary liability for antifraud violations.")). The *Anixter* court explained that an accountant may be liable for misrepresentations not made directly to the public so long as there is a "showing that [it] knew or should have known that [its] representation would be communicated to investors ...." 77 F.3d at 1226.

This interpretation appears to be supported by *Central Bank* itself which foreclosed Section 10(b) liability from extending to aiding and abetting, because "aiding and abetting liability extends beyond persons who engage, *even indirectly*, in a proscribed activity; aiding and abetting liability reaches persons who do not engage in the proscribed activities at all,

but who give a degree of aid to those who do." 511 U.S. at 176 (emphasis added).

The Ninth Circuit, in *In re Software Toolworks, Inc.*, 50 F.3d 615, 628 n.3 (9th Cir. 1994), endorsed an even more liberal test, holding that a secondary actor, such as an accountant, may be primarily liable under Section 10(b) where it played a "significant role" in the dissemination of misleading statements. This "substantial participation" test, as it has come to be known, has been rejected by the Second Circuit. *See, e.g., Shapiro v. Cantor*, 123 F.3d 717, 721-22 (2d Cir. 1997). Nevertheless, different panels of the Second Circuit have rendered three decisions, in addition to *Wright*, which are inconsistent in their interpretation of *Central Bank*, indicating that the time is ripe for this Court to clarify its decision in *Central Bank*.

In *SEC v. First Jersey Securities Inc.*, 101 F.3d 1450, 1471 (2d Cir. 1996), the Second Circuit explained that "[p]rimary liability may be imposed 'not only on persons who made fraudulent misrepresentations but also on those who had knowledge of the fraud and assisted in its perpetration.'" (citing *Azrielli v. Cohen Law Offices*, 21 F.3d 512, 517 (2d Cir. 1994)). However, in *Shapiro*, the Second Circuit appeared to foreclose the notion that liability could attach to anyone but the speaker when it cited with approval the language from *In Re MTC Electronic Technologies Shareholders Litigation*, 898 F. Supp. 974, 987 (E.D.N.Y. 1995), stating that if *Central Bank*:

> [I]s to have any real meaning, a defendant must actually make a false or misleading statement in order to be held liable under

> Section 10(b). Anything short of such conduct is merely aiding and abetting, and no matter how substantial that aid may be, it is not enough to trigger liability under Section 10(b).

Shapiro, 123 F.3d at 720.

To further confuse the landscape, more recently, the Second Circuit, in *SEC v. U.S. Environmental, Inc.*, 1998 U.S. App. LEXIS 21416, at *13-14 (2d Cir. Aug. 25, 1998), appears to have retreated from this hard line, acknowledging that one who commits a manipulative and deceptive act may still be primarily liable under Section 10(b) even if he does not make an affirmative misstatement.

Against this backdrop we turn to the *Wright* case where the Second Circuit apparently rejected *Anixter*'s indirect misstatement theory by holding that reliance is a determinative element in examining whether a third party is liable for making a false statement.

Plaintiff alleges that E&Y, as the outside auditor responsible for approving the accuracy of BT's year-end financial statements, made an actionable affirmative misrepresentation when it orally told BT's Chief Financial Officer that the Company's year-end financial statements were sufficiently accurate for dissemination to the public. As plaintiff's Complaint alleges, E&Y and the market knew that the Company's public release of the year-end figures was contingent on receiving approval from E&Y. In affirming the District Court's dismissal, the Second Circuit, citing *Anixter* 77 F.3d at 1226-27, noted that a misstatement need not be

communicated directly to the public for Section 10(b) liability to attach. Nevertheless, it disregarded that standard by holding that the offending misrepresentation must attribute some misstatement to a particular party for that party to be liable. "[T]he misrepresentation must be attributed to that specific actor at the time of public dissemination, it simply requires that the statement be identified as to time and place, that is, in advance of the investment decision." *Wright* at Appendix, p. 12a. According to the Court, the reasoning of this holding is rooted in the concept of reliance. However, the Complaint does allege that the market knew by implication that E&Y had approved the publication of this false statement.

Plaintiff respectfully submits that the Second Circuit confused the requirement that a plaintiff (or the market) rely on a misstatement with the notion that there must be direct reliance on the misconduct of that particular party. By reaching this holding, the Second Circuit effectively eliminated liability for any indirect misstatements by a party no matter the degree of culpability of that party in perpetrating a fraud on the public. In *In re ZZZZ Best Securities Litigation*, 864 F. Supp. 960 (C.D. Cal. 1994), the Central District of California addressed this very issue and explained why the market need not be cognizant of who was responsible, even indirectly, for the misleading information that was relied upon:

> While the investing public may not be able to reasonably attribute the additional misstatements and omissions to E&Y, the securities market still relied on those public statements and anyone intricately involved in

> their creation and the resulting deception should be liable under Section 10(b)/Rule 10b-5.

Id. at 970.

Commentators have also explained that a defendant's role in perpetrating a fraud is not excused simply because his misstatements have only indirectly reached the marketplace:

> The reliance that a plaintiff must establish to recover on a Section 10(b)/Rule 10b-5 participation claim is reliance upon the false representation, not upon any particular defendant's role in preparing it. Indeed, it is irrelevant that the plaintiff, at the time of reliance upon the misrepresentation, does not know the identities of all who had a significant role in preparing it. At common law and in pre-Brennan Section 10(b)/Rule 10b-5 jurisprudence, all who played a substantial role in the preparation were potentially primarily liable, even if their identities did not become known until after the transaction.

Robert A. Prentice, *Locating that "Indistinct" and "Virtually Nonexistent" Line Between Primary and Secondary Liability Under Section 10(b)*, 75 N.C. L. Rev. 691, 757, n. 293 (1997).

Similarly, as explained by Donald C. Langevoort, *Words From on High About Rule 10B-5: Chiarella's History, Central Bank's Future*, 20 Del. J. Corp. L. 865 (1995), the securities laws are designed to prohibit all fraudulent conduct:

> There is little sense, however, in limiting fraud liability to those whose involvement is public and direct. The vast bulk of securities law makes clear that behind the scenes involvement in fraudulent disclosure (or actionable nondisclosure), as opposed to mere participation in the fraud, by no means absolves the participant from culpability. The very nature of securities fraud often involves obscuring the source and interests of its authors. People can have a significant influence on how fraudulent disclosure is packaged, and hence how effective it is, without being identifiable to the victim.

Id. at 889.

In fact, this very issue is now under consideration by the Third Circuit Court of Appeals in its *en banc* review of *Klein v. Boyd*, [Current Transfer Binder] Fed. Sec. L. Rep. (CCH) ¶ 90,136 (3d Cir. Feb. 12, 1998). In *Klein*, which was vacated by a majority of the Third Circuit after granting defendant's petition for a rehearing, *Klein v. Boyd*, [Current Transfer Binder] Fed. Sec. L. Rep. ¶ 90,165 (3d Cir. Mar. 9, 1998), plaintiff alleged that the law firm of Drinker Biddle was liable under Section 10(b) for its role in disseminating disclosure documents in connection with a limited partnership investment even though the firm did not sign the documents nor did its name appear anywhere on the documents. Initially, the district court granted defendant's summary judgment motion, reasoning, in part, that because investors did not know of Drinker Biddle's involvement in the limited

partnership they could not have relied upon any of the firm's representations. The Third Circuit disagreed, stating:

> We conclude that lawyers and other secondary actors who significantly participate in the creation of their client's misrepresentations, to such a degree that they may fairly be deemed authors or co-authors of those misrepresentations, should be held accountable as primary violators under section 10(b) and Rule 10b-5 *even when the lawyers or other secondary* actors are not identified to the investor, assuming the other requirements of primary liability are met.

(CCH) ¶ 90,136 at 90,324 (emphasis added).

The Court of Appeals went on to explain that:

> Section 10(b) and Rule 10b-5 require the plaintiff to demonstrate reliance on the misleading statement; they do not require the plaintiff to demonstrate that he or she relied on the *defendant's role* in the preparation or dissemination of the statement. When an investor reasonably relies on a materially misleading statement in connection with the purchase or sale of a security, the author of the statement should not be allowed to escape liability under the federal securities laws merely because the author is unknown to the investor.

Id. (second emphasis added).

The Third Circuit made clear that it was not endorsing the Ninth Circuit's "substantial assistance" test. Rather, when a person's participation in the creation of a document containing a misrepresentation is such that the person can be deemed an author or co-author of the document liability may attach.[2] "This is true even if the investor is unable to attribute the statement to the person at the time of the transaction." *Id.* at 90,325.

Here, plaintiff alleges that defendant actually made a misstatement, albeit orally. Defendant E&Y proposed and subsequently told BT that its year-end financials were accurate and could be published. E&Y knew that, based upon that representation, BT would, in fact, issue those figures to the public. Plaintiff has alleged that but for this representation the figures would not have been disseminated to the public. Certainly had the press release circulated by BT affirmatively stated that E&Y approved the release of year-end figures, there would be no question as to E&Y's liability. Thus, the only issue is one of direct attribution, an issue currently being examined by the Third Circuit, and one which petitioner believes merits consideration by this Court as well.

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[2] Of course, for this reason, the decision may be at odds with the Second Circuit opinions of SEC *v. First Jersey Securities, Inc.*, 101 F.3d 1450 (2d Cir. 1996), and SEC *v. U.S. Environmental, Inc.*, No. 97-6195, 1998 U.S. App. LEXIS 21416 (2d Cir. Aug. 25, 1998), cited above, which found liability even absent the making of a statement.

CONCLUSION

As the Second Circuit itself stated in *Wright*, "[i]n the wake of *Central Bank*, federal courts have differed over the threshold required for a secondary actor's conduct to implicate primary liability." Appendix, p. 10a. Now, two Circuit Courts of Appeal, in attempting to apply the same "threshold," differ over the issue of whether a statement must be directly attributed to a defendant for Section 10(b) liability to apply.

This Court's seemingly narrow holding in *Central Bank*, that aiding and abetting allegations no longer are actionable under Section 10(b), has been stretched thin through interpretation by the lower courts. This petition presents the Court with an opportunity to clarify the limits of *Central Bank*.

WHEREFORE, petitioner requests that this Court grant the petition for a writ of certiorari and reverse the Second Circuit in *Wright*.

Respectfully Submitted,

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U.S. 2nd Circuit Court of Appeals

WRIGHT v ERNST & YOUNG LLP

UNITED STATES COURT OF APPEALS

FOR THE SECOND CIRCUIT

August Term, 1997

(Argued April 27, 1998 Decided August 6, 1998)

Docket No. 97-9241

IRENE L. WRIGHT, on behalf of herself and all others similarly situated,

Plaintiff-Appellant,

v.

ERNST & YOUNG LLP,

Defendant-Appellee.

Before: VAN GRAAFEILAND, MESKILL and CABRANES, Circuit Judges.

Appeal from a judgment of the United States District Court for the Southern District of New York, Scheindlin, J., dismissing a class action complaint against an accounting firm, alleging fraud in connection with the sale of securities, pursuant to Fed. R. Civ. P. 12(b)(6) for failure to state a claim on which relief could be granted.

Affirmed.

DAVID A.P. BROWER, Wolf Haldenstein Adler Freeman & Herz, New York City (Daniel W. Krasner, Wolf Haldenstein Adler Freeman & Herz, New York City, Charles J. Piven, Baltimore, MD, of counsel),

for Appellant.

BRUCE M. CORMIER, Associate General Counsel, Ernst & Young LLP, Washington, D.C. (Michael J. Crane, Assistant General Counsel, Ernst & Young LLP, New York City, Robert J. Ward, Mayer, Brown & Platt, New York City, Michele Odorizzi, Mayer, Brown & Platt, Chicago, IL, of counsel),

for Appellee.

MESKILL, Circuit Judge:

Plaintiff-appellant Irene Wright appeals from a final judgment rendered in the United States District Court for the Southern District of New York, Scheindlin, J., dismissing her amended class action complaint charging defendant accounting firm Ernst & Young LLP with making materially false representations in connection with BT Office Products' sale of common stock, all in violation of § 10(b) of the Securities Exchange Act of 1934 (the Act), 15 U.S.C. § 78j(b), and Securities and Exchange Commission (SEC) Rule 10b-5, 17 C.F.R. § 240.10b-5. See Wright v. Ernst & Young LLP, 1997 WL 563782 (S.D.N.Y. Sept. 10, 1997). The district court dismissed the amended complaint pursuant to Fed. R. Civ. P. 12(b)(6) for failure to state a claim on which relief could be granted, but sua sponte granted leave to replead. The plaintiff-appellant declined to replead and instead filed this appeal, asserting that the amended complaint adequately stated a cause of action for violation of federal securities law. The question we must answer is whether, under the Act,

persons who purchase stock in a company that issued a press release containing false and misleading financial information, with a notation that the information is unaudited and without mention of its outside auditor, can recover from the auditor for its private approval of the information contained in the press release. We conclude that under these circumstances, primary liability is foreclosed by Central Bank of Denver v. First Interstate Bank of Denver, (1994), and by our recent decision in Shapiro v. Cantor, 123 F.3d 717 (2d Cir. 1997). Accordingly, we affirm the judgment of the district court dismissing the amended complaint.

BACKGROUND

The appellee, Ernst & Young LLP (Ernst & Young or the firm), is a firm engaged in the business of providing various accounting services, including auditing and financial analysis. At all relevant times, Ernst & Young was the outside auditor for BT Office Products, Inc. (BT), a corporation engaged in the distribution and sale of office products. The gravamen of the amended complaint is that Ernst & Young violated the antifraud provisions of the Act by orally approving BT's materially false and misleading financial statements that BT in turn disseminated to the public in a January 30, 1996 press release. Plaintiff- appellant Irene Wright (Wright) represents a class of investors who purchased BT common stock during the period between BT's January 30, 1996 press release and BT's public statement on March 28, 1996 disavowing the financial statements

<:f, Carnegie,>contained in that release (the class period). Wright claims that because "the market knew and relied on the fact that these financial statements were approved by [Ernst & Young]," Ernst & Young is liable for losses suffered once BT's true financial picture emerged. Wright also filed a class action suit in the Southern District of New York against

BT alleging securities fraud in connection with the same set of circumstances. In March 1997, the class reached a settlement with BT under which the company agreed to pay $1,480,000 to the class.

As set forth in the amended complaint against Ernst & Young, BT embarked on a series of acquisitions in 1987, including the purchase of a stationer known as Summit Office Supply (BT-Summit). As BT expanded, its management decided to engage Ernst & Young to audit its year-end financial statements. Ernst & Young issued audit opinions certifying the accuracy of BT's financial statements for the years ending December 31, 1993 and December 31, 1994. Later, in July 1995, the firm updated and re-released the December 31, 1994 audit opinion as a "Report of Independent Auditors" for use in BT's initial public offering prospectus, which included a statement of BT's first quarter earnings for 1995. The audit upon which that report was based included a "full-scope" audit of several BT subsidiaries, but only a "limited review" of BT-Summit's accounts.

In the fall of 1995, the firm began a new "full-scope" audit of BT-Summit. Pursuant to this effort, it discovered an under-accrual of BT-Summit's accounts payable and alerted BT management. Upon consideration, however, Ernst & Young concluded that the under-accrual was not material and advised BT that it was probably a carryover of a similar under-accrual from the year before. Accordingly, the amended complaint avers that "on January 22, 1996 [Ernst & Young] signed off on BT Office Products' 1995 financial statements . . . and authorized [BT] to release its 1995 year end results with full knowledge of the fact that the market would and did interpret the release of these figures as having been approved by [Ernst & Young]." The amended complaint further states that based on Ernst & Young's oral assurances, BT

issued a press release on January 30, 1996 that set forth BT's 1995 financial results and indicated strong growth during 1995. The press release also stated, however, that the figures were "unaudited" and it made no mention of Ernst & Young.

In late February and March of 1996, it became apparent to both BT and Ernst & Young that the under-accrual problem at BT-Summit was more serious than previously believed. A further investigation revealed not only that BT-Summit employees used improper accounting techniques, but substantial company funds had been embezzled. In light of these discoveries, BT announced on March 28, 1996 that it was restating its 1995 financial results from a previously announced profit of $1.5 million to a loss of $200,000. With that announcement, BT's stock lost more than 25% of its value, injuring Wright and the other class members.

The amended complaint alleges that "due to [the firm's] recklessness and failure to follow Generally Accepted Auditing Standards (`GAAS') [Ernst & Young, by electing to perform only a limited review of BT-Summit,] did not uncover the massive `accounting and financial reporting irregularities' at BT-Summit." Allegedly because of this recklessness, Wright and other class members purchased stock at an artificially inflated price and later suffered injury once BT's true financial picture emerged.

In the proceedings before Judge Scheindlin, Ernst & Young filed a motion to dismiss, arguing, inter alia, that because it did not itself make any false statement to the public, the amended complaint alleged nothing more than "aiding and abetting" liability, a form of Rule 10b-5 liability that the Supreme Court abolished in Central Bank of Denver v. First Interstate Bank of Denver, (1994). In opposing that motion, Wright argued that the amended complaint properly alleged

a 10b-5 violation because it alleged that Ernst & Young provided false and misleading advice to BT, knowing that the advice would be passed on to investors. Moreover, because Ernst & Young allegedly "signed-off" or approved the financial information within that press release, Wright averred that the market understood the press release as an implied statement by Ernst & Young that the financial information contained therein was accurate. In reply, Ernst & Young pointed out that BT's January 30, 1996 press release did not purport to repeat any statement made by Ernst & Young and that the press release expressly stated that the 1995 financial results were "unaudited."

On September 9, 1997 Judge Scheindlin granted the motion to dismiss. In doing so, she rejected Wright's argument that BT's press release constituted an implied statement to the public that Ernst & Young had approved BT's financial statements, noting that such a claim was refuted by BT's statement in the press release that the 1995 financial results were "unaudited." See Wright, 1997 WL 563782, at *2. Further, the court observed that transforming that disclaimer into a guarantee of the statement's accuracy would "seriously deter disclosure of unaudited financial information." Id. The court also observed that sustaining the amended complaint in light of Ernst & Young's "clearly tangential role in the alleged fraud would effectively revive aiding and abetting liability under a different name, and would therefore run afoul of the Supreme Court's holding in Central Bank." Id. at *3. Finally, Judge Scheindlin concluded that although the amended complaint also alleged misstatements by Ernst & Young in connection with BT's 1995 initial public offering prospectus, the amended complaint failed to allege fully a § 10(b) cause of action on that ground. Id. at *4. Accordingly, the court sua sponte granted Wright leave to cure the defects by filing a second amended complaint by September 29, 1997. Wright

did not file a second amended complaint and accordingly, the district court entered judgment on September 30, 1997. Wright filed a notice of appeal on October 1, 1997.

DISCUSSION

On appeal, Wright argues that the district court (1) erred in holding that the amended complaint failed to allege that Ernst & Young made an actionable misstatement within the meaning of the Act; (2) erred in crediting the "unaudited" disclaimer in BT's press release and thus erred in rejecting her allegation that the market understood the press release as an implied statement by Ernst & Young that the financial information contained therein was accurate; and (3) erred in dismissing the amended complaint because, at the very least, it stated a cause of action for failure to correct misstatements in the 1995 initial public offering prospectus.

We review de novo the district court's dismissal of a complaint under Fed. R. Civ. P. 12(b)(6), taking all well-pleaded factual averments in the complaint as true and drawing all reasonable inferences in the plaintiff's favor. See Leeds v. Meltz, 85 F.3d 51, 53 (2d Cir. 1996). "The issue is not whether a plaintiff will ultimately prevail but whether the claimant is entitled to offer evidence to support the claims." Scheuer v. Rhodes, (1974).

1. Actionable Statements and § 10(b)

Wright first argues that because a defendant can incur primary liability under the Act for false statements that are not directly communicated to the public, there is no requirement that the false statement be attributed to the defendant at the time of its dissemination. Thus, Wright maintains that

although BT's press release attributes no statement to Ernst & Young, the amended complaint nevertheless alleges a false statement within the meaning of § 10(b) because it alleges that Ernst & Young "assured" BT of the accuracy of its 1995 financial results, knowing that BT would, in turn, promptly disseminate those results to investors in the press release.

Further, Wright argues that even if the amended complaint does not allege conduct amounting to a false statement, it does state a § 10(b) cause of action under post-Central Bank authority because Ernst & Young is alleged to have "substantially participated" in the fraud. See SEC v. First Jersey Securities, 101 F.3d 1450, 1471 (2d Cir. 1996) ("Primary liability may be imposed `not only on persons who made fraudulent misrepresentations but also on those who had knowledge of the fraud and assisted in its perpetration.'" (citation omitted)), cert. denied, 118 S.Ct. 57 (1997); see also In re Software Toolworks Inc. Sec. Litigation, 50 F.3d 615, 628 n.3 (9th Cir. 1994), cert. denied, (1995); In re ZZZZ Best Sec. Litigation, 864 F.Supp. 960, 970 n.12 (C.D. Cal. 1994). We disagree on both counts.

We conclude that Wright's arguments are foreclosed by Central Bank and by our recent decision in Shapiro v. Cantor, 123 F.3d 717 (2d Cir. 1997). Section 10(b) of the Act provides in pertinent part:

It shall be unlawful for any person, directly or indirectly . . .

. . . .

> (b) To use or employ, in connection with the purchase or sale of any security registered on a national securities exchange or any security not so registered, any manipulative or deceptive device or contrivance in

> contravention of such rules and regulations as the [SEC] may prescribe.

15 U.S.C. § 78j (emphasis added). Its parallel regulation, SEC Rule 10b-5 provides in pertinent part:

> It shall be unlawful for any person, directly or indirectly . . .
>
> (a) To employ any device, scheme, or artifice to defraud,
>
> (b) To make any untrue statement of a material fact or to omit to state a material fact necessary in order to make the statements made, in the light of the circumstances under which they were made, not misleading, or
>
> (c) To engage in any act, practice, or course of business which operates or would operate as a fraud or deceit upon any person,
>
> in connection with the purchase or sale of any security.

17 C.F.R. § 240.10b-5 (emphasis added). Prior to the Supreme Court's decision in Central Bank, a number of federal courts held that the strictures of § 10(b) reached not only those who actually make a material misstatement, but also those who aid and abet such a violation. See Central Bank, (citing Brennan v. Midwestern United Life Ins. Co., 259 F.Supp. 673 (N.D. Ind. 1966), aff'd, 417 F.2d 147 (7th Cir. 1969), cert. denied, (1970); Cleary v. Perfectune, Inc., 700 F.2d 774, 777 (1st Cir. 1983); Kerbs v. Fall River Indus., 502 F.2d 731, 740 (10th Cir. 1974)). However, after the Supreme Court's strict adherence to the text of § 10(b) in such cases as Santa Fe Indus. v. Green, (1977), and Ernst & Ernst v. Hochfelder, (1976), courts and commentators began to question the viability of secondary liability claims under § 10(b). See Central Bank, -70 (citing Daniel R. Fischel, Secondary Liability Under Section 10(b) of the Securities Act of 1934, 69 Calif. L. Rev. 80, 82 (1981); Benoay v. Decker, 517

F.Supp. 490, 495 (E.D. Mich. 1981), aff'd, 735 F.2d 1363 (6th Cir. 1984)).

In Central Bank, the Supreme Court addressed the legitimacy of secondary liability claims in private actions brought pursuant to § 10(b). The Court concluded from the text of the Act that Congress never intended to impose secondary liability under § 10(b) and thus the Act "does not itself reach those who aid and abet . . . [but] prohibits only the making of a material misstatement (or omission) or the commission of a manipulative act." Central Bank, . The Court further observed that authorizing a § 10(b) cause of action based on aiding and abetting would circumvent the "reliance" requirement of Rule 10b-5 by allowing a plaintiff to prevail "without any showing that the plaintiff relied upon the aider and abettor's statements or actions." Id. at 180; see also Basic v. Levinson, (1988) (rejecting liability under Rule 10b-5 without reliance). However, the Court did not hold that secondary actors are always free from liability under the Act. Rather, secondary actors like accountants may be held liable as primary violators if all the requirements for primary liability are met, including "a material misstatement (or omission) on which a purchaser or seller of securities relies." Central Bank, .

In the wake of Central Bank, federal courts have differed over the threshold required for a secondary actor's conduct to implicate primary liability. As Judge Gleeson of the Eastern District of New York observed,

> [s]ome courts have held that a third party's review and approval of documents containing fraudulent statements is not actionable under Section 10(b) because one must make the material misstatement or omission in order to be a primary violator. See, e.g., In

> re Kendall Square Research Corporation Securities Litigation, 868 F.Supp. 26, 28 (D. Mass. 1994) (accountant's "review and approval" of financial statements and prospectuses insufficient); Vosgerichian v. Commodore International, 862 F.Supp. 1371, 1378 (E.D. Pa. 1994) (allegations that accountant "advised" and "guid[ed]" client in making allegedly fraudulent misrepresentations insufficient).
>
> Other [courts] have held that third parties may be primarily liable for statements made by others in which the defendant had significant participation. See, e.g., In re Software Toolworks, 50 F.3d 615, 628 n. 3 (9th Cir. 1994) (accountant may be primarily liable based on its "significant role in drafting and editing" a letter sent by the issuer to the SEC); . . . In re ZZZZ Best Securities Litigation, 864 F.Supp. 960, 970 (C.D. Cal. 1994) (an accounting firm that was "intricately involved" in the creation of false documents and their "resulting deception" is a primary violator of section 10(b)).

In re MTC Elec. Technologies Shareholders Litigation, 898 F.Supp. 974, 986 (E.D.N.Y. 1995) (second alteration in original). These two differing approaches have been characterized respectively as the "bright line" test and the "substantial[] participat[ion]" test. Id.; see also Anixter v. Home-Stake Prod. Co., 77 F.3d 1215, 1226-27 (10th Cir. 1996).

In Shapiro, we followed the "bright line" test after observing that "`[i]f Central Bank is to have any real meaning, a defendant must actually make a false or misleading statement in order to be held liable under Section 10(b). Anything short of such conduct is merely aiding and abetting, and no matter how substantial that aid may be, it is not enough to trigger liability under Section 10(b).'" Shapiro, 123 F.3d at 720 (quoting In re MTC Elec. Technologies Shareholders Litigation,

898 F.Supp. at 987). We also observed that because § 10(b) and Rule 10b-5 focus on fraud made in connection with the sale or purchase of securities, a defendant must "`know or should know'" that his representation would be communicated to investors. Id. at 720 (quoting Anixter, 77 F.3d at 1226). "There is no requirement that the alleged violator directly communicate misrepresentations to [investors] for primary liability to attach." Anixter, 77 F.3d at 1226. However, contrary to Wright's argument, a secondary actor cannot incur primary liability under the Act for a statement not attributed to that actor at the time of its dissemination. Such a holding would circumvent the reliance requirements of the Act, as "[r]eliance only on representations made by others cannot itself form the basis of liability." Id. at 1225. Thus, the misrepresentation must be attributed to that specific actor at the time of public dissemination, that is, in advance of the investment decision. See In re Kendall Square Research Corp. Sec. Litigation, 868 F.Supp. at 28 (where accountant did not issue a report on the company's financial statements, but merely "reviewed and approved" them, the accountant could not be liable for a material misstatement); see also 5 Alan R. Bromberg & Lewis D. Lowenfels, Bromberg and Lowenfels on Securities Fraud & Commodities Fraud, § 8.56, at 336 (New Matter) (2d ed. 1996) (in the aftermath of Central Bank, "accountants whose reports appear[] in an otherwise fraudulent document[]" may incur primary liability under the Act) (emphasis added).

In this case, BT's press release did not attribute any assurances to Ernst & Young and, in fact, did not mention Ernst & Young at all. Thus, Ernst & Young neither directly nor indirectly communicated misrepresentations to investors. Therefore, the amended complaint failed to allege that Ernst & Young made "a material misstatement (or omission) on which a purchaser or seller of securities relie[d]." Central

Bank, . Moreover, as the district court aptly recognized, because the press release contained a clear and express warning that no audit had yet been completed, there is no basis for Wright to claim that Ernst & Young had endorsed the accuracy of those results. We therefore agree with the district court that holding Ernst & Young primarily liable under the Act "in spite of its clearly tangential role in the alleged fraud would effectively revive aiding and abetting liability under a different name, and would therefore run afoul of the Supreme Court's holding in Central Bank." Wright, 1997 WL 563782, at *3.

Wright also argues that under the post-Central Bank authority of this Circuit, the amended complaint nevertheless states a cause of action because Ernst & Young is alleged to have "substantially participated" in the fraud. Specifically, Wright cites our decision in First Jersey, 101 F.3d at 1471, for the proposition that "[p]rimary liability may be imposed `not only on persons who made fraudulent misrepresentations but also on those who had knowledge of the fraud and assisted in its perpetration.'" Id. (quoting Azrielli v. Cohen Law Offices, 21 F.3d 512, 517 (2d Cir. 1994)). Wright's argument is unpersuasive.

In First Jersey, we affirmed the imposition of primary liability under § 10(b) on Robert Brennan, the president, chief executive and sole owner of First Jersey Securities, Inc. Brennan had directed his employees to make false and misleading statements to customers. We held Brennan liable for securities fraud in his capacity as a "controlling person," that is, for fraud planned and directed by upper level management. Id. at 1471-74. Here, we confront alleged fraud by accountants -- secondary actors who may no longer be held primarily liable under § 10(b) for mere knowledge and assistance in the fraud. See Central Bank, ; see also IIT v. Cornfeld, 619 F.2d

909, 922 (2d Cir. 1980) (knowledge and substantial assistance are two of the three prongs for pre- Central Bank aiding and abetting liability).

In 1995, Congress authorized the SEC to bring enforcement actions against those who "knowingly provide[] substantial assistance to another person" in violation of the federal securities laws. See Private Securities Litigation Reform Act of 1995, Pub. L. No. 104-67, § 104, 109 Stat. 737, 757, codified in 15 U.S.C. § 78t(f). That congressional act did not create a private cause of action.

Finally, Wright argues that we should follow other jurisdictions that have adopted the substantial participation test. See In re Software Toolworks Inc. Sec. Litigation, 50 F.3d at 628 n.3; In re ZZZZ Best Sec. Litigation, 864 F.Supp. at 970 n.12. We decline to do so. See Shapiro, 123 F.3d at 720. Moreover, even under the "substantial participation" test, we would be hard pressed to conclude that the amended complaint alleged an actionable misrepresentation within the meaning of § 10(b). See Cashman v. Coopers & Lybrand, 877 F.Supp. 425, 432 (N.D. Ill. 1995) (where court applies substantial participation test, accounting firm may not incur primary liability for a misstatement unless that statement is "certified, audited, prepared or reported"); see also Robin v. Arthur Young & Co., 915 F.2d 1120, 1125 (7th Cir. 1990) (accounting firm could not be held liable for aiding and abetting under pre-Central Bank standard even where company alleged that "but for" accounting firm's consent, company would not have issued prospectus containing false and misleading financial statements), cert. denied, (1991).

2. The "Unaudited" Disclaimer

Wright next argues that the district court erred in giving effect to BT's disclaimer in the press release which stated that

the financial results were "unaudited." Wright prays that by rendering that disclaimer ineffective, we might breathe new life into her averment that the market understood BT's press release as an implied assertion by Ernst & Young that BT's financial statements were accurate. Specifically, Wright argues that the district court (a) erred in relying on the "bespeaks caution doctrine" in crediting that disclaimer; (b) erred in resolving disputed facts regarding what the market would implicitly understand by a company's release of financial results and an accountant's role in that release; (c) erred in giving effect to the word "unaudited" when such a disclaimer cannot negate Ernst & Young's own pivotal conduct in causing the dissemination of the false financial results; and (d) erred by allowing accountants to hide behind the word "unaudited," in contravention to the broad remedial purposes of the Act.

Wright cannot prevail regardless of how we treat the disclaimer. As noted, Ernst & Young's assurances were never communicated to the public either directly or indirectly. BT issued the press release without a whisper of Ernst & Young's involvement. Thus, in order to resurrect Wright's claim that Ernst & Young made an actionable statement within the meaning of § 10(b), we would have to do more than just refuse to give effect to the "unaudited" disclaimer. We would also have to ignore the absence of any mention of Ernst & Young in BT's press release and focus instead on what the market might have implicitly "understood" about Ernst & Young's involvement in that press release. In other words, we would have to grant Wright an exception to the rule established by the Supreme Court that secondary actors such as accountants may not be held primarily liable unless they themselves have made "a material misstatement (or omission) on which a purchaser or seller of securities relies." Central Bank, . We find no justification for granting such an exception. See, e.g., In re Fidelity/Micron Sec. Litigation, 964

F.Supp. 539, 543-44 (D. Mass. 1997) (holding that a mutual fund, Magellan, cannot be held primarily liable on a theory of respondeat superior for the alleged misstatements of its fund manager, notwithstanding plaintiff's contention "`that the market understood that [the fund manager] spoke for Magellan'" (emphasis added)). We also perceive no affront to the remedial purposes of the Act. While the Act does carry broad remedial purposes, the Act may not be "amend[ed] . . . to create liability for acts that are not themselves manipulative or deceptive within the meaning of the statute." Central Bank, -78 (emphasis added). Aiding and abetting liability is simply not covered by the Act. Accordingly, we conclude that the district court did not err in so holding.

3. The Amended Complaint and Other Actionable Statements

In addition to its allegations regarding the press release, the amended complaint alleged that Ernst & Young had made a false statement in connection with BT's 1995 initial public offering prospectus. Specifically, in the amended complaint, Wright alleged that in a Report of Independent Auditors included in BT's prospectus, Ernst & Young certified the accuracy of BT's 1994 financial statements and BT's earnings for the first quarter of 1995, but "did not disclose that it only had performed a limited review of BT Summit." This report, the amended complaint alleged, was false and misleading. However, the district court concluded that the amended complaint failed to allege fully a § 10(b) cause of action on that ground because it failed to allege all the requirements for a Rule 10b-5 violation. Accordingly, the court sua sponte granted Wright leave to cure the defect. Wright, however, elected to file this appeal rather than replead.

On appeal, Wright argues that the amended complaint adequately states a cause of action for failure to correct the false financial information contained in that prospectus because by January 1996, Ernst & Young discovered facts tending to undermine the accuracy of those financial statements. Specifically, Wright argues in her brief that:

> Plaintiff alleged a misstatement -- the Report of Independent Auditors, signed by [Ernst & Young]; that the misstatement was material as evidenced by the fact that [BT's] financial results for 1994 eventually were restated; that the market relied on this misinformation as reflected in [BT's] stock price; and that defendant [Ernst & Young] was reckless, at least by January 1996, in not correcting this misstatement.

We disagree. In order to survive a motion to dismiss, a plaintiff bringing an action pursuant to § 10(b) and Rule 10b-5 must "plead that the defendant made a false statement or omitted a material fact, with scienter, and that plaintiff's reliance on defendant's action caused plaintiff injury." San Leandro Emergency Medical Group Profit Sharing Plan v. Philip Morris Cos., 75 F.3d 801, 808 (2d Cir. 1996). Accounting firms "do have a duty to take reasonable steps to correct misstatements they have discovered in previous financial statements on which they know the public is relying." Cornfeld, 619 F.2d at 927; see also SEC v. Manor Nursing Centers, 458 F.2d 1082, 1095 (2d Cir. 1972) ("Post-effective developments which materially alter the picture presented in the registration statement must be brought to the attention of public investors." (footnote omitted)); Lanza v. Drexel & Co., 479 F.2d 1277, 1304-05 (2d Cir. 1973) (scienter requires that a defendant act deliberately or recklessly). Silence where there is a duty to disclose can constitute a false or misleading statement within the meaning of § 10(b) and Rule 10b-5. See Basic, n.17.

In this case, however, although the amended complaint alleges that the prospectus contained false statements (i.e., the inaccurate 1994 results) in 1995, it does not allege the misrepresentation claim that Wright presses on appeal -- namely, that Ernst & Young made a false statement (by omission) in 1996 as a result of its duty and subsequent failure to correct those statements. In fact, an alleged duty to correct does not appear anywhere in the amended complaint and did not enter the case until Wright mentioned it for the first time in her opposition memoranda to the motion to dismiss. See Cornfeld, 619 F.2d at 914 & n.6 (a party is not entitled to amend its complaint through statements made in motion papers); see also Jacobson v. Peat, Marwick, Mitchell & Co., 445 F.Supp. 518, 526 (S.D.N.Y. 1977) (party may not amend pleading through statements in briefs). Furthermore, the amended complaint fails to allege that Ernst & Young knew or was reckless in not knowing in 1995 that the Report of Independent Auditors contained false financial information, that the market or those who purchased BT's stock during the 1996 class period relied on the 1995 report, or that the 1995 report caused damages. Accordingly, we find no basis for Wright's contention that the amended complaint states a § 10(b) cause of action.

Because Wright elected to stand on the amended complaint rather than replead by September 29, 1997, Ernst & Young argues that Wright has waived her opportunity to file a second amended complaint. We conclude that because the district court entered judgment in this action on September 30, 1997, Wright may not file a second amended complaint without first obtaining vacatur of that final judgment, which she has not done on this appeal.

CONCLUSION

Central Bank of Denver v. First Interstate Bank of Denver, (1994), and Shapiro v. Cantor, 123 F.3d 717 (2d Cir. 1997), foreclose primary liability under the Act for false or misleading statements made by Ernst & Young because no false or misleading statement was attributed to Ernst & Young at the time of public dissemination. Accordingly, the district court did not err in dismissing the amended complaint on that ground. Further, we also agree with the district court that the amended complaint fails to state a cause of action under § 10(b) and Rule 10b-5 for failure to correct misstatements made in connection with the sale or purchase of securities. Accordingly, the judgment of the district court is affirmed.

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(Cite as: 1997 WL 563782 (S.D.N.Y.))

Irene L. WRIGHT, on behalf of herself and all others similarly situated,
Plaintiff,
v.
ERNST & YOUNG LLP, Defendant.

No. 97 CIV. 2189(SAS).

United States District Court, S.D. New York.

Sept. 10, 1997.

David A.P. Brower, Esq., Neil L. Zola, Esq., Wolf Haldenstein Adler Freeman & Herz LLP, New York, New York, Charles J. Piven, Esq., Law Offices of Charles J. Piven, Baltimore, Maryland, for Plaintiff.

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OPINION AND ORDER

SCHEINDLIN, D.J.

*1 Plaintiff filed an Amended Complaint on July 30, 1997, alleging claims for violation of Section 10(b) of the Securities Exchange Act of 1934, 15 U.S.C. § 78j(b), and Securities Exchange Commission Rule 10b-5 promulgated thereunder ("Rule 10b-5"). Plaintiff claims that the defendant, a large accounting firm, recklessly failed to detect various acts of

financial malfeasance committed by employees of BT Office Products ("BT") while representing to the public that it had adequately audited the company's financial records. Plaintiff alleges that because of this recklessness, she bought BT stock at an artificially inflated price and suffered injury once BT's true financial picture emerged. Defendant moved to dismiss pursuant to Rule 12(b)(6) of the Federal Rules of Civil Procedure. For the reasons that follow, defendant's motion is granted.

I. Legal Standard for Motion to Dismiss

In deciding a 12(b)(6) motion to dismiss, the court must accept as true material facts alleged in the complaint and draw all reasonable inferences in the nonmovant's favor. See . Such a motion cannot be granted simply because recovery appears remote or unlikely on the face of a complaint, because "[t]he issue is not whether a plaintiff will ultimately prevail but whether the claimant is entitled to offer evidence to support the claims." (quoting). Rather, dismissal can only be granted if "it appears beyond doubt that the plaintiff can prove no set of facts in support of his claim which would entitle him to relief." (quoting).

In ruling on a motion to dismiss for failure to state a claim, the Court may take into consideration documents which are integral to the complaint and upon which it relies, such as the press release at issue in the instant case, without converting the motion into one for summary judgment. See ; .

II. Factual Background

For the purposes of deciding this motion, the following allegations are assumed to be true. BT Office Products ("BT") is a distributor of office products that embarked on a series of acquisitions in the late 1980's. One of the businesses

acquired was Summit Office Supply, Inc. ("Summit"), a stationer based in New York, which became a BT subsidiary. At some point during this period, BT engaged defendant Ernst & Young LLP ("E & Y") to audit BT's year-end financial statements. See Amended Complaint ("Cmplt.") ¶¶ 24-26.

E & Y issued audit opinions certifying the accuracy of BT's financial statements for the years ending December 31, 1993 and December 31, 1994. E & Y updated and re-released the latter opinion in July, 1995, for use in BT's initial public offering prospectus. The audit upon which E & Y based its 1994 opinion included a "full-scope" audit of several BT subsidiaries, but only a "limited review" of Summit's accounts. See id. at ¶¶ 31, 35, 41.

*2 In the fall of 1995, E & Y began a new BT audit that included a full- scope audit of Summit. Pursuant to this effort, it discovered an underaccrual of Summit's accounts payable, and alerted BT management to this fact. Upon further consideration, however, E & Y concluded that the underaccrual was not material, as it appeared to be largely a carryover of a similar underaccrual from the year before. See id. at ¶¶ 42-43.

On January 30, 1996, BT issued the press release that is the subject of this lawsuit. The release announced that BT had enjoyed impressive earnings and strong growth during 1995. See id. at ¶ 44. It also indicated, however, that the figures from which these conclusions were drawn were unaudited. E & Y was not mentioned in the release.

In late February and March of 1996, it became apparent to BT and E & Y that the underaccrual problem at Summit was more serious than had been previously believed. A further investigation revealed that not only had Summit employees used improper accounting techniques, but that a large

amount of company funds had been embezzled as well. In light of these discoveries, BT announced on March 28 that it was restating its 1995 financial results from a previously announced profit of $1.5 million to a loss of $200,000. The price of BT's stock fell precipitously, injuring plaintiff shareholders. See id. at ¶¶ 47-48. This suit followed.

III. Discussion

A. 10b-5 Claim

To recover under Rule 10b-5, a plaintiff must prove that the defendant, acting with scienter, made a false material representation or omitted to disclose material information and that plaintiff relied, to her detriment, on this representation or omission. See . A threshold question here is whether the plaintiff has satisfied the first part of this test; namely, whether E & Y's alleged actions rise to the level of an actionable representation or omission. Plaintiff advances two theories on this point.

First, plaintiff argues that E & Y can be held responsible for BT's January 30, 1996 press release because E & Y "signed off" on the accounting figures that formed the basis of the release. Because BT would not have released its financial results without E & Y's approval, according to plaintiff, the market understood the release as an implied assertion by E & Y that the statements were accurate. See Cmplt. ¶ 11.

The problem with this theory is that the press release explicitly stated that the financial statements were unaudited. It may be possible that some investors would infer an auditor's approval from a company's release of financial data. Such an inference, however, was simply not warranted in this case, as BT's data was accompanied by a clear and express warning that no audit had yet been completed: E & Y's only

"representation" as to the accuracy of those figures was that it made no representation at all. Under plaintiff's reasoning, E & Y's disclaimer would be transformed into a guarantee of the statements' accuracy. Such a result would not only be illogical, but would seriously deter disclosure of unaudited financial information as well.

*3 Plaintiff's second theory is that BT's financial statements were express (though indirect) representations by E & Y that BT had earned a profit of $1.5 million in 1995 and had operating income of $23.7 million. By "authorizing" BT to release these figures, plaintiff argues, E & Y effectively adopted them as its own. See Plaintiff's Memorandum of Law in Opposition to Defendant's Motion to Dismiss at 8. While BT's statements may have contained actionable misrepresentations, they were not made by, and cannot be attributed to, E & Y.

In , the Supreme Court held that aiding and abetting securities fraud was not prohibited by Rule 10b-5. Since that decision, there has been considerable disagreement among the lower courts as to when primary 10b-5 liability can be imposed upon defendants who have some connection with, but do not actually make, actionable misrepresentations. Compare (an accounting firm can be primarily liable under 10b-5 when it plays a "significant role" in drafting a statement containing misrepresentations released by its client) with (10b-5 liability can only attach when the defendant itself makes a misrepresentation).

Virtually all cases to have considered the issue, however, have required a greater degree of participation in the fraudulent conduct than the mere review and approval of unaudited figures. See, e.g., (accounting firm's review and approval of financial statements released by client cannot create 10b-5 liability); (allegations that accounting firm consulted, advised,

and guided client in making misrepresentations insufficient to state a 10b-5 claim); (allegations that underwriter participated in drafting and circulating a client's misleading prospectus insufficient). Holding E & Y primarily liable under Rule 10b-5 in spite of its clearly tangential role in the alleged fraud would effectivelv revive aiding and abetting liability under a different name, and would therefore run afoul of the Supreme Court's holding in Central Bank.

B. Leave to Amend

Rule 15(a) of the Federal Rules of Civil Procedure provides that the court should grant leave to amend "freely ... when justice so requires." The Second Circuit has noted that "[w]hen a motion to dismiss is granted, 'the usual practice is to grant leave to amend the complaint.' ... Although the decision whether to grant leave to amend is within the discretion of the district court, refusal to grant leave must be based on a valid ground." (quoting (quotations omitted)). Where the possibility exists that the defect can be cured, leave to amend at least once should normally be granted unless doing so would prejudice the defendant. See

*4 Plaintiff has not pled a viable 10b-5 claim against E & Y with respect to BT's January 30, 1996 press release. However, the Amended Complaint alleges that E & Y made misstatements on other occasions as well. See, e.g., Cmplt. ¶ 41 (alleging that E & Y certified the financial statements included in BT's prospectus). It is possible that such misstatements could rise to the level of 10b-5 violations, assuming the other required elements are properly pled. Because the defects in the Complaint could at least theoretically be cured, leave to amend is granted.

III. Conclusion

For the foregoing reasons, the Complaint fails to allege the essential elements of a Rule 10b-5 claim. Accordingly, defendant's motion to dismiss is granted with leave to amend. If plaintiff chooses to file an Amended Complaint, she must do so by September 29, 1997.

SO ORDERED:

Dated: New York, New York

September 9, 1997

U.S.C. TITLE 15 - COMMERCE AND TRADE
CHAPTER 2B - SECURITIES EXCHANGES

§ 78j. Manipulative and deceptive devices

It shall be unlawful for any person, directly or indirectly, by the use of any means or instrumentality of interstate commerce or of the mails, or of any facility of any national securities exchange -

(a) To effect a short sale, or to use or employ any stop-loss order in connection with the purchase or sale, of any security registered on a national securities exchange, in contravention of such rules and regulations as the Commission may prescribe as necessary or appropriate in the public interest or for the protection of investors.

(b) To use or employ, in connection with the purchase or sale of any security registered on a national securities exchange or any security not so registered, any manipulative or deceptive device or contrivance in contravention of such rules and regulations as the Commission may prescribe as necessary or appropriate in the public interest or for the protection of investors.